

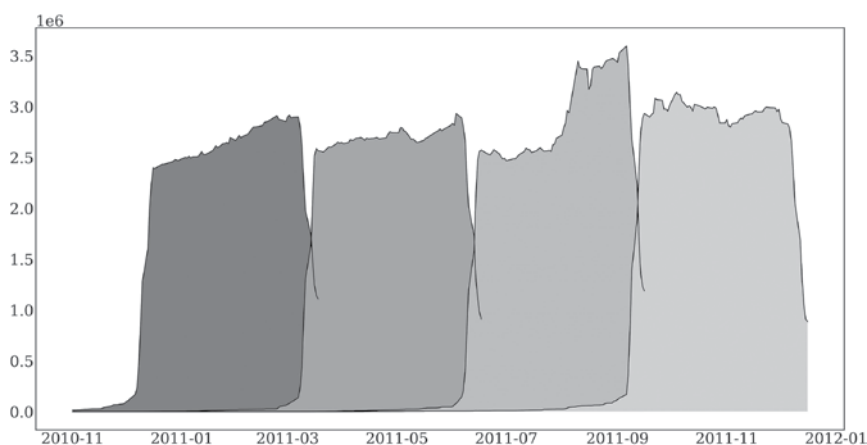


FIGURE 2.1 Open interest moving from month to month.

For someone focused just on a single market, it is possible to stay close enough to that market to be aware right away when the attention of the traders switches from one contract to another, but as a systematic trader covering a large number of markets you need to find a way to automatically detect such changes. From the perspective of the typical trader, the most liquid contract is the only one that really matters. Although there are CTA managers exploiting pricing differences between different delivery months in the same market, the most common strategies focus solely on the most heavily traded delivery month.

Figure 2.1 shows the open interest for the S&P 500 futures for three delivery months in 2011. This particular market offers only contracts for March, June, September and December so when the March moves to expiry the trading will normally move to the June contract and so on. The June contract expires on June 16 and shortly before that the open interest starts moving down for that contract while moving up in the next. At the same time, Figure 2.2 shows that the volume spikes up sharply in both the June and the September contract around this time as well. Remember that the open interest will tell you how many contracts are outstanding, that is how many are still uncovered in that particular delivery month. If you buy one S&P contract, you will add one to this number, and when you sell it you will decrease this number, and the same is true for the reversed trade, of course.

The reason why the volume goes up while the open interest rolls to the next delivery is that everyone is busy rolling their position, switching out of the June contract and into the September and thereby generating a lot of trade tickets. Since this is a non-deliverable financial future, you could in